



almost the same as my public expenditure to the GDP on capital assets, what does it say?

Under PM Modi we have focussed on fiscal prudence, maintaining discipline, transparency, but also the quality of public expenditure. If it's matching with your fiscal deficit, it means you're borrowing only to spend on capital expenditure, creating assets. We are not spending money to service our loans or to pay salaries. That is a major point.

I would think despite Covid, when we had to borrow money, we have shown fiscal discipline without cutting down on social welfare schemes and without cutting down on public expenditure in capital assets.

I would think that observers of the Indian economy, whether they are accredited rating agencies or anybody else, should look at this.

Q: A recent ranking by the NITI Aayog suggests certain states are slipping on economic performance. What would you say in this regard?

A: Well, I think this has been said at Centre and state talks. I wouldn't want to comment on it in a public platform, considering that when it comes to certain matters of national interest, one does not speak with a political motive. India's development, fiscal situation, debt-to-GDP ratio, effective spending on capital expenditure, these are matters for all of us to be equally worried about. Unfortunately, some of our states will have to introspect and get their act together.

Q: Most market experts cheered the Budget, but foreign investors have been continuously pulling out money. Why do you think that is happening?

A: India's market and its fundamentals are strong. The domestic situation and issues arising out of it alone cannot be the reason for FPIs pulling money out of this country. Developments in the US, global uncertainties, markets like Japan trying to assert themselves... so many things are happening that FPIs will move as quickly as mercury would do. I'm not surprised but equally I would want to make India a lot more attractive destination for investment and that is one of the reasons why in the Budget I have mentioned that bilateral investment treaties will be reviewed

and we will come up with a new template.

Q: Suddenly political parties are announcing schemes for women to win elections. Who is going to foot the bill?

A: Give as much as you want in the name of whatever freebie, but I won't classify them as freebies as long as that money is accounted for in the Budget. We know of states that have made promises and won elections and after that do everything to implement the programme and then say they are left with no money. You won the election, you gave the promise, but Modi has got to pay for it. If you thought you can just pull it off like that and then keep blaming Prime Minister Modi, it's unfair. Look at Karnataka, the state from where I am an MP. I feel really bad. Till two years ago, three years ago, it was one of the best-governed states. You had industry coming, start-ups were thriving, and it was the best ecosystem. Today, the state has a revenue deficit. **BT**